Contents

AMIS MARKET MONITOR

No. 50 – July 2017

Roundup

Although deteriorating crop conditions in the US and the EU have sustained significant increases in international wheat prices in recent weeks, world wheat supplies are expected to remain adequate in 2017/18, with stocks projected to end the season above their already high opening levels. Global maize markets are also seen well supplied, given record harvests in the southern hemisphere, while overall prospects for rice and soybeans remain favourable as well. Notwithstanding this generally positive outlook for AMIS crops in 2017/18, much will still depend on weather conditions, especially during the critical summer months in the northern hemisphere.

Markets at a glance

	From previous forecast	From previous season
Wheat	▼	▲
Maize	▲	▼
Rice	▬	▬
Soybeans	▲	▼

▲ Easing ▬ Neutral ▼ Tightening

The **Market Monitor** is a product of the Agricultural Market Information System (AMIS). It covers international markets for wheat, maize, rice and soybeans, giving a synopsis of major market developments and the policy and other market drivers behind them. The analysis is a collective assessment of the market situation and outlook by the eleven international organizations and entities that form the AMIS Secretariat.
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World supply-demand outlook

- **Wheat** production forecast lowered, reflecting downward revisions mostly in Europe due to dry conditions. While falling by 2.7 percent y/y, global wheat production would still be the second highest on record.
- Utilization in 2017/18 reduced, mainly on lower-than-earlier projected growth in feed use, especially in the EU.
- Trade forecast for 2017/18 (July/June) raised, reflecting stronger import demand, especially in several non-AMIS countries.
- Stocks (ending in 2018) lowered on downward adjustments in Argentina and the EU; but still very high thanks to a sharp anticipated y/y increase in China.

in million tonnes

WHEAT	FAO-AMIS 2016/17 est.	FAO-AMIS 2017/18 f'cast 8-Jun	FAO-AMIS 2017/18 f'cast 6-Jul	USDA 2016/17 est.	USDA 2017/18 f'cast 9-Jun	IGC 2016/17 est.	IGC 2017/18 f'cast 29-Jun
Production	760.1	743.2	739.9	754.1	739.5	754.5	735.1
Supply	984.2	990.6	987.0	996.7	996.0	979.9	976.7
Utilization	731.9	728.3	727.7	740.3	734.8	738.3	735.5
Trade	174.2	171.0	171.8	180.3	178.6	172.8	170.3
Stocks	247.1	257.4	255.8	256.4	261.2	241.6	241.2

- **Maize** production in 2018 set to exceed the 2017 peak following record outputs in Argentina, Brazil and South Africa; the latest forecast is higher than in May, mostly reflecting upward revisions in the US.
- Utilization in 2017/18 could rise 2.1 percent from 2016/17 on expectations of firmer demand for feed and industrial use.
- Trade forecast for 2017/18 (July/June) lifted significantly m/m, reflecting stronger import demand in the face of ample export supplies.
- Stocks (ending in 2018) falling by less than forecast last month on upward revisions in China and the US.

in million tonnes

MAIZE	FAO-AMIS 2016/17 est.	FAO-AMIS 2017/18 f'cast 8-Jun	FAO-AMIS 2017/18 f'cast 6-Jul	USDA 2016/17 est	USDA 2017/18 f'cast 9-Jun	IGC 2016/17 est.	IGC 2017/18 f'cast 29-Jun
Production	1,038.9	1,054.0	1,057.9	1,067.2	1,031.9	1,069.0	1,025.1
Supply	1,262.6	1,282.7	1,289.4	1,279.7	1,256.5	1,278.4	1,253.2
Utilization	1,034.0	1,054.8	1,055.4	1,055.1	1,062.1	1,050.3	1,054.7
Trade	139.0	136.8	140.0	158.7	152.9	139.1	142.5
Stocks	231.5	220.4	225.7	224.6	194.3	228.0	198.5

- **Rice** production forecast upgraded slightly, as more buoyant prospects for Brazil, Pakistan and Myanmar are outweighed by reductions for the US and Viet Nam.
- Utilization still forecast to grow by 1.2 percent y/y, with food use set to expand by a similar margin.
- Trade in calendar 2018 little varied m/m, as upward adjustments to exports by China, India and Myanmar offset reductions for Thailand and Pakistan.
- Stocks (ending in 2018) raised somewhat, on upward revisions to carryovers in Bangladesh, Myanmar and the Philippines. Conversely, major exporters' inventories downscaled.

in million tonnes

RICE *(milled)*	FAO-AMIS 2016/17 est.	FAO-AMIS 2017/18 f'cast 8-Jun	FAO-AMIS 2017/18 f'cast 6-Jul	USDA 2016/17 est.	USDA 2017/18 f'cast 9-Jun	IGC 2016/17 est.	IGC 2017/18 f'cast 29-Jun
Production	499.9	502.6	502.9	481.1	481.0	483.9	486.3
Supply	670.9	673.6	673.6	596.9	600.3	603.8	606.5
Utilization	499.7	505.7	505.6	479.6	479.7	483.6	488.2
Trade	44.2	44.2	44.4	42.0	42.7	41.6	41.8
Stocks	170.7	170.5	171.0	119.2	120.6	120.2	118.4

- **Soybean** 2017/18 production forecast lowered slightly, reflecting downward corrections for Brazil, India and Canada. Despite a drop of 2.1 percent from 2016/17, global output would remain the second-highest on record.
- Utilization projected to expand by 3.5 percent in 2017/18, with countries in Asia (led by China) and the US driving growth.
- Trade forecast for 2017/18 revised upwards, now anticipated to post a 3.3 percent increase from 2016/17.
- Stocks (2017/18 carry-out) projected to contract some 4 million tonnes from the 2016/17 all-time high. The largest reductions are expected in Argentina and Brazil.

in million tonnes

SOYBEANS	FAO-AMIS 2016/17 est.	FAO-AMIS 2017/18 f'cast 8-Jun	FAO-AMIS 2017/18 f'cast 6-Jul	USDA 2016/17 est.	USDA 2017/18 f'cast 9-Jun	IGC 2016/17 est.	IGC 2017/18 f'cast 29-Jun
Production	349.6	344.1	342.4	351.3	344.7	351.3	348.2
Supply	394.2	394.3	398.1	428.4	437.9	383.6	392.3
Utilization	334.6	350.2	346.3	331.2	344.2	339.4	351.6
Trade	144.6	146.6	149.0	144.6	149.1	142.0	147.9
Stocks	55.6	45.2	51.5	93.2	92.2	44.1	40.6

FAO-AMIS monthly forecast

To review and compare data, by country and commodity, across the three main sources, go to:
http://statistics.amis-outlook.org/data/index.html#COMPARE

Estimates and forecasts may differ across sources for many reasons, including different methodologies. ***For more information see Explanatory notes on the last page of this report.***

Summary of revisions to FAO-AMIS monthly forecasts for 2017/18

in thousand tonnes

	WHEAT					MAIZE				
	Production	Imports	Utilization	Exports	Stocks	Production	Imports	Utilization	Exports	Stocks
WORLD	***-3281***	***841***	***-618***	***862***	***-1561***	***3877***	***3146***	***639***	***3135***	***5313***
Total AMIS	***-3275***	***190***	***-1600***	***957***	***-1286***	***3083***	***2168***	***376***	***3230***	***1394***
Argentina	-	-	-	1000	-1200	1000	-	-	1000	-500
Australia	214	-	-	-	189	-2	-	-2	-	-
Brazil	-	-	-	-	-	-	-	-	1600	-
Canada	-	-	-	300	-	-	620	-	-	-
China Mainland	-	-	-	-	450	-800	-550	-3000	25	2690
Egypt	-	-	-200	-	300	-	1000	500	-	500
EU	-3500	-10	-1500	-1000	-1000	-3000	1400	100	300	-1500
India	-	-	-	-	-	-	-	-	-	-
Indonesia	-	-	-	-	-	-	-	-	-	-
Japan	-	-	-	-	-	-	-	-	-	-
Kazakhstan	-	-	-	-	-	-	-	-	-	-
Mexico	-	-	-	-	-	-	-	-	-	-
Nigeria	-	-	-	-	-	1055	-	1055	-	-
Philippines	-	-	-	-	-	500	-300	-116	-	366
Rep. of Korea	-	-	-	-	-	-	1	-	-	-
Russian Fed.	-	-	-	1000	-500	-533	-	367	-500	-400
Saudi Arabia	-	-	-	-	-	-	-	-	-	-
South Africa	-	-	-	-	-	-	-	-	-	-
Thailand	-	-	-	-	-	-	-	-	-	-
Turkey	800	-	50	500	250	-	-	-	-	-
Ukraine	-892	-	-	-893	-19	130	-3	85	1500	-2563
US	103	-	-	-	294	4733	-	1359	-700	3001
Viet Nam	-	200	50	50	-50	-	-	28	5	-200

	RICE					SOYBEANS				
	Production	Imports	Utilization	Exports	Stocks	Production	Imports	Utilization	Exports	Stocks
WORLD	***222***	***220***	***-154***	***198***	***498***	***-1681***	***2370***	***-3886***	***2335***	***6215***
Total AMIS	***-306***	***-70***	***-680***	***10***	***-203***	***-1832***	***-250***	***-4157***	***2385***	***5985***
Argentina	7	-	-	-70	7	300	-	800	300	1600
Australia	-23	-	-8	-	-	7	-	7	-	-
Brazil	113	-	24	-	70	-1000	-350	-3815	2800	4116
Canada	-	-	-	-	-	-700	-	-400	-200	-15
China Mainland	-	-	-360	280	-100	-	-	-300	-300	-300
Egypt	-	-	60	-30	-20	-	-	-	-	-
EU	6	-	6	-	-20	-132	-	-232	-	222
India	-	-	-105	150	-	-700	-	-400	-100	100
Indonesia	-	-	-	-	-	-170	-120	-350	-	-100
Japan	-	-	-	-	-	-	70	90	-	-
Kazakhstan	-	-	-	-	-	-	-	-	-	-
Mexico	-	-	5	-	10	-50	-350	-510	-	-85
Nigeria	-	-	-40	-	-	-	-	-	-	-
Philippines	78	-100	28	-	140	-	-	-	-	-
Rep. of Korea	-	-	-	-	-	-	100	100	-	-
Russian Fed.	-54	-	-9	-30	-	400	-300	-	50	50
Saudi Arabia	-	-	20	-	-	-	-	-	-	-
South Africa	-	30	-	-	-	33	-	7	-	-43
Thailand	-	-	20	-300	-100	-	300	290	-	10
Turkey	-	-	-1	10	-	-	200	0	-	-
Ukraine	-	-	-	-	-	180	-	355	-165	20
US	-303	-	-210	-	-170	-	-	10	-	400
Viet Nam	-130	-	-110	-	-20	-	200	191	-	10

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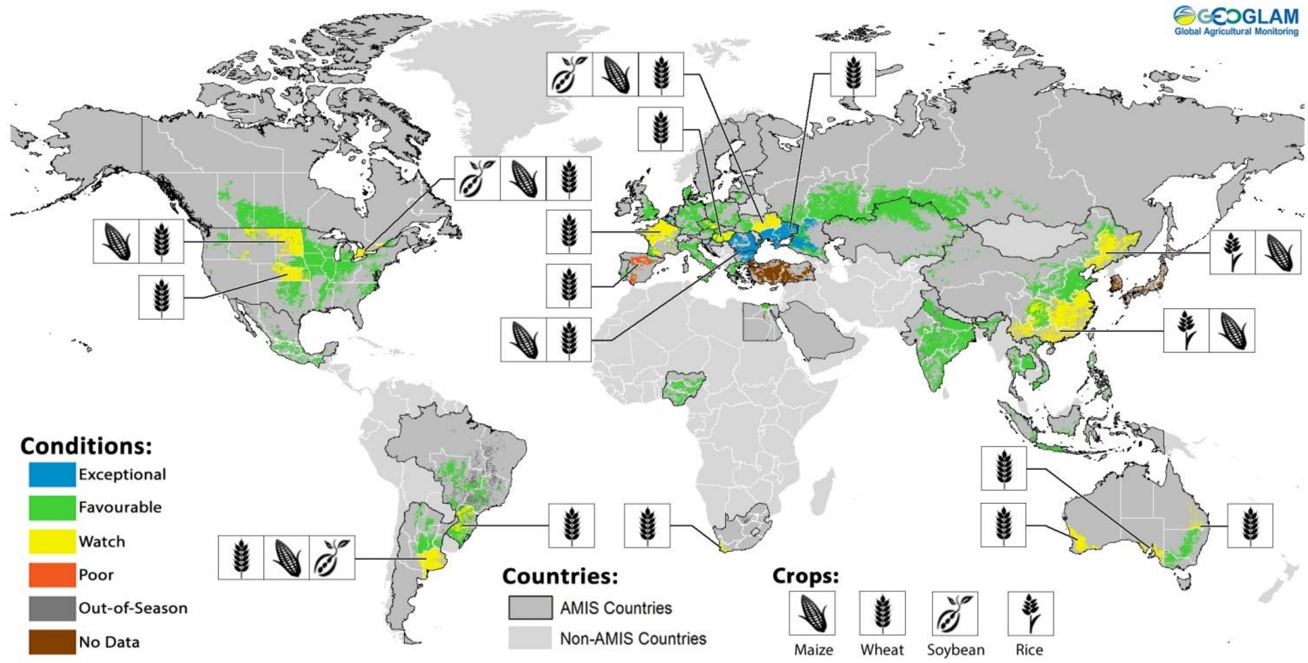
Numbers shown refer to changes in forecasts (in thousand tonnes) since the previous report.

Crop monitor

Crop conditions in AMIS countries (as of 28 June)



Crop condition map synthesizing information for all four AMIS crops as of 28 June. Crop conditions over the main growing areas for wheat, maize, rice, and soybean are based on a combination of national and regional crop analyst inputs along with earth observation data. ***Only crops that are in other-than-favourable conditions are displayed on the map with their crop symbol.***

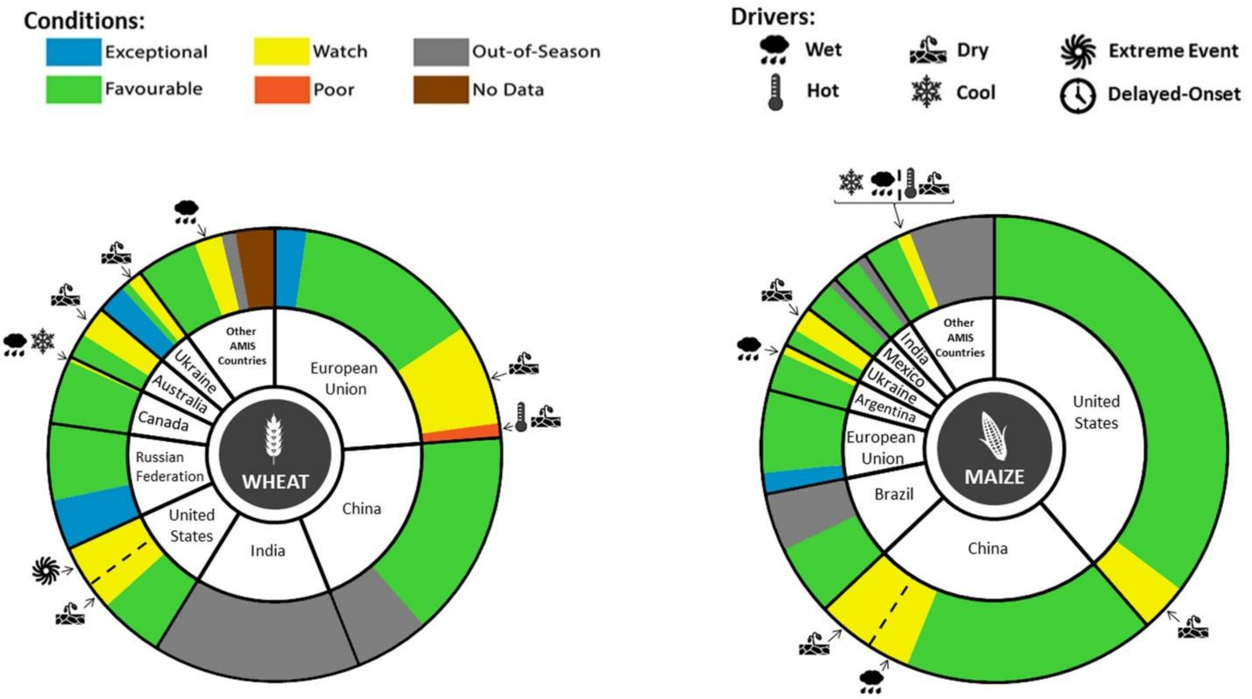
Conditions at a glance

Wheat - In the northern hemisphere, conditions remain mixed as harvest begins for winter wheat, and the spring wheat crop is mostly in early vegetative to reproductive stages. There is a further downgrading of conditions most notably in the US and Europe. In the southern hemisphere, crops are in planting to early vegetative stages, and conditions remain mixed with heavy rainfall in Argentina and dry conditions in Australia, though it is still early in the season.

Maize - Conditions in the northern hemisphere are generally favourable at this early stage of the season, with the exception of minor areas in the US, China, Ukraine, and Canada. In the southern hemisphere, conditions are favourable as harvesting continues in Argentina and Brazil.

Rice – In Asia the rainy season has begun and crop conditions are generally favourable across most of the region. However, heavy rainfall and low solar radiation in China has affected early rice.

Soybean: In the southern hemisphere, harvest is almost complete. In Argentina, good yields are expected despite recent floods. In the northern hemisphere, sowing continues under generally favourable conditions.

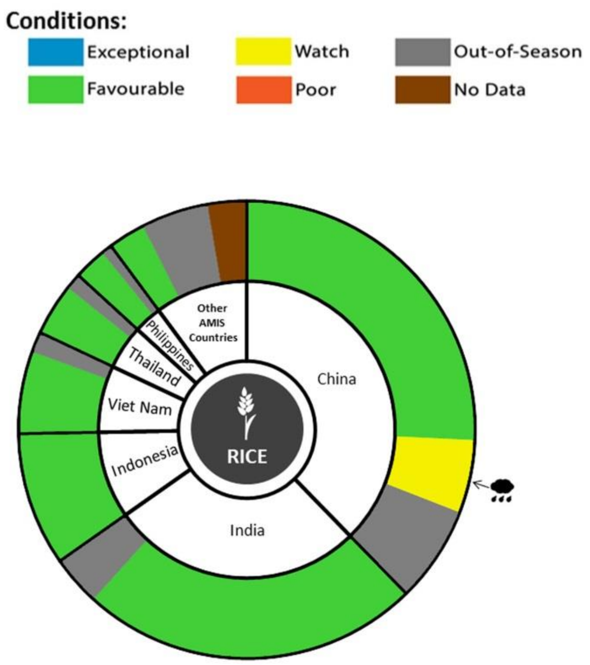


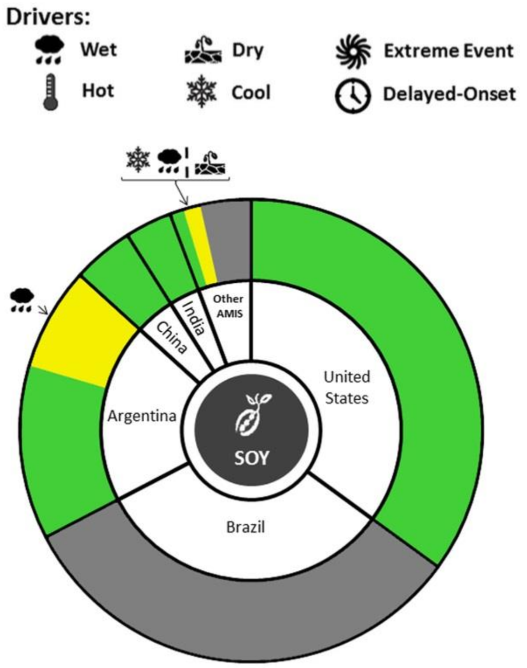
Wheat

In the **EU**, continued hot and dry weather resulted in unfavourable conditions for grain filling in some regions, most notably in Spain and France. In **China**, crop conditions are favourable for winter and spring wheat. In the **US**, winter wheat harvest began with much of the Great Plains area under watch conditions owing to dryness in the north and the late April winter storm, impacts of which are still being assessed. Spring wheat is also under mixed conditions due to persistent dryness in the northern Great Plains area, though it is still early in the season. In the **Russian Federation**, conditions are favourable to exceptional for winter wheat and favourable for spring wheat development. In **Ukraine**, conditions are mixed due to a shortage of spring-summer rains, however in the southern and eastern areas (major growing regions) the crop received favourable weather conditions during the critical development phase. In **Canada**, recent rainfall in the Prairies has improved crop conditions for spring wheat and sowing is complete, however heavy rains and cool weather continue to hamper development of winter wheat in Ontario. In **Australia**, conditions are mixed as dry conditions persist across much of the western and southern areas, however it is still early in the season. In **Argentina**, sowing is proceeding under mixed conditions as heavy rains hamper progress.

Maize

In the **US**, conditions are generally favourable with some dryness in the northwest. In **China**, dryness in the northeast and low solar radiation in the southeast has resulted in mixed conditions for spring maize while summer maize is under favourable conditions. In the **EU**, hot weather has resulted in favourable conditions for maize in vegetative growth stages, especially in eastern European regions. In **Ukraine**, conditions are mixed due to recent rainfall deficits in the north-central regions. In **India**, sowing of the Kharif crop began under favourable conditions. In **Canada**, conditions continue to be affected by excess moisture and cool weather in the main producing province of Ontario. In **Mexico**, conditions are favourable for both the planting of the spring-summer crop and the harvesting of the autumn-winter crop.
In **Brazil**, conditions are favourable for summer-planted maize. An increase in production compared to last year is expected due to an area increase and favourable weather conditions, as confirmed with the harvest advance. In **Argentina**, conditions are generally favourable as the first crop harvest is almost complete and the late planted crop harvest begins, progressing slowly due to the prioritization of soybean harvest.





Rice

Conditions are generally favourable throughout the major growing regions. In **China**, conditions are mixed for early rice due to heavy rainfall in the south and southeast, along with low solar radiation in the northeast. In **India**, conditions are favourable for the Kharif crop currently in nursery bed development and transplanting in the southwest. In **Indonesia**, harvest of wet-season rice is near complete with good yields expected, while conditions are favourable for the continued sowing of dry-season rice, with some earlier planted areas advancing to vegetative stage. In **Viet Nam**, conditions are favourable across the country for harvest of winter-spring rice with average or just below average yields expected. In the south, sowing continues for the summer-autumn rice under favourable conditions. In **Thailand**, conditions are favourable as sowing of wet-season rice is underway with an increase in planted area forecasted compared to last year, owing to an early start of the rainy season. In the **Philippines**, the majority of wet-season rice advanced to the vegetative stage under favourable conditions with the starting of the rainy season bringing above average to near average rainfall. In the **US**, conditions are favourable.

Soybeans

In **Argentina**, in spite of recent flooding, overall yields are expected to be good as harvest nears completion. In the **US**, sowing is coming to a close under favourable conditions throughout the country. In **China**, the crop is in planting to early vegetative stage under favourable conditions. In **India**, sowing of the Kharif crop began under favourable conditions. In **Canada**, conditions continue to be affected by excess moisture and cool weather in the main producing province of Ontario. In **Ukraine**, conditions are mixed due to recent rainfall deficits.

Information on crop conditions in non-AMIS countries can be found in the [GEOGLAM Early Warning Crop Monitor](), published 6 July 2017

Pie chart description: *Each slice represents a country's share of total AMIS production (5-year average), with the main producing countries (90 percent of production) shown individually and the remaining 10 percent grouped into the "Other AMIS Countries" category. Sections within each country are weighted by the sub-national production statistics (5-year average) of the respective country and accounts for multiple cropping seasons (i.e. spring and winter wheat).*

The late vegetative through to reproductive crop growth stages are generally the most sensitive periods for crop development.

Sources and Disclaimers: The Crop Monitor assessment is conducted by GEOGLAM with inputs from the following partners (in alphabetical order): Argentina (Buenos Aires Grains Exchange, INTA), Asia Rice Countries (AFSIS, ASEAN+3 & Asia RiCE), Australia (ABARES & CSIRO), Brazil (CONAB & INPE), Canada (AAFC), China (CAS), EU (EC JRC MARS), Indonesia (LAPAN & MOA), International (CIMMYT, FAO, IFPRI & IRRI), Japan (JAXA), Mexico (SIAP), Russian Federation (IKI), South Africa (ARC & GeoTerraImage & SANSA), Thailand (GISTDA & OAE), Ukraine (NASU-NSAU & UHMC), USA (NASA, UMD, USGS – FEWS NET, USDA (FAS, NASS)), Viet Nam (VAST & VIMHE-MARD). The findings and conclusions in this joint multiagency report are consensual statements from the GEOGLAM experts, and do not necessarily reflect those of the individual agencies represented by these experts.
More detailed information on the GEOGLAM crop assessments is available at www.geoglam-crop-monitor.org

Policy developments

Wheat

- On 19 June, **Japan** extended its Simultaneous Buy-and-Sell import scheme to cover all wheat classes as of October 2017. Japanese flour millers will be able to import up to 200 000 tonnes of wheat per year.
- On 1 June, **Turkey** lifted all restrictions on Russia wheat imports, after having limited last month's import volumes to 20-25 percent of the amount specified in import licences.
- On 28 June, CME launched the **Australian** wheat FOB (Platts) futures contract which will begin trading on July 24 pending all relevant regulatory review periods.

Maize

- Effective on 1 July 2017, **India** increased the minimum support price for maize by 4.4 percent from INR 13 650 (USD 211.6) to INR 14 250 (USD 220.8) per tonne.

Rice

- Effective on 1 July 2017, **EU** Commission Regulation 2017/983 of 9 June 2017 will tighten the maximum residue limits (MRLs) applicable to tricyclazole in rice from 1mg/kg to 0.01mg/kg. Time-limited exemptions from the new MRLs apply until 30 December 2017 in the case of imported Basmati rice as well as rice that is imported or placed on the market before 30 June 2017. The fungicide is used by many rice-growing and exporting countries, particularly in Asia and Latin America.
- On 13 June, the National Food Authority's Council of the **Philippines** revamped its rice importation programme, shifting away from government-to-government transactions towards government-to-private purchases. Moreover, at least 30 percent of the import quota volume should clear customs between August and September 2017, while the remainder should arrive between December 2017 and February 2018.

Soybeans

- On 12 June, several **EU** Agriculture Ministers expressed support for an EU Soya Declaration that encourages the adoption of a common strategy to increase the sustainable production of soybean and other legume crops, tackle protein deficit while reducing import dependence in the block. The Declaration is expected to be signed in July.
- Effective on 1 July 2017, **India** raised the minimum purchase price for soybeans by 9.9 percent from INR 27 750 (USD 430) to INR 30 500 (USD 473) per tonne.

Across the board

- On 7 June, **Brazil** announced that BRL 190.25 billion (USD 58 billion) would be made available in the 2017/18 agricultural year in order to ensure the stability of its rural assistance programme.
- On 12 June, **China's** Agriculture Ministry approved 16 genetically-modified crop varieties for importation, including five soybean and four maize varieties to be used for animal feeding. The approvals are valid for three years.
- On 20 June, **China** announced that it will spend CNY 2.56 billion (USD 374.95 million) to subsidize farmers to rotate their maize plantings with other crops every other year as well as to leave some land fallow.
- On 5 June, **Egypt** allocated EGP 145 billion (USD 8 billion) for fuel subsidies and EGP 80 billion (USD 4.4 billion) for electricity subsidies in its budget for the 2017-18 fiscal year beginning in July.
- On 20 June, the State of Punjab in **India** waived over USD 1.5 billion in loans to farmers with holdings up to 2 hectares and debts up to INR 200 000 per farmer (USD 3 100). In a similar move, on 24 June, the State of Maharashtra waived USD 5.27 billion to farmers with up to INR 150 000 (USD 2 326) debt.
- To contain food price inflation, on 27 June, **Turkey** has cut customs duties for a number of livestock and grains, including wheat, maize and barley. Wheat and barley imports from various suppliers, including the EU-EFTA countries and **Republic of Korea** were slashed to 40-45 percent. Customs duties for maize imports were also reduced from 130 percent to 25 percent ad valorem. According to the Economy Ministry, additional cuts may be considered in future.

Biofuels

- On 6 June, **Argentina's** Energy Ministry increased the price of maize-based ethanol for oil refiners to

AMIS Policy database

Visit the AMIS Policy database at: http://statistics.amis-outlook.org/policy/

*The **AMIS Policy database** gathers information on trade measures and domestic measures related to the four AMIS crops (wheat, maize, rice, and soybeans) as well as biofuels. The design of this database allows comparisons across countries, across commodities and across policies for selected periods of time.*

blend into gasoline by 0.7 percent from ARS 12.848 per litre (USD 0.80) to ARS 12.942 (USD 0.81) per litre.

- As part of on-going energy reforms, on 25 June, the **Mexican** Energy Regulatory Commission modified the Official Standard NOM 016-CRE-2016 which sets out the quality specifications for fuels. The maximum volume content of anhydrous ethanol that can be blended in gas supplies was increased from 5.8 to 10 percent, except in the 3 main cities of Monterrey, Guadalajara and Mexico City. The revised blend level will be consistent with that adopted by Mexico's NAFTA partners.
- On 21 June, **Thailand** ordered a 40 percent increase in biodiesel stocks held by oil companies to 90 million litres to help absorb excess palm oil supplies and support prices.

STOP PRESS

In May, the Ministry of Finance in **Egypt** allocated EGP 1.1 billion (USD 60.6 million) to purchase local wheat from farmers in the 2017 season.
On 22 May 2017, the **Philippines** extended quantitative restrictions and tariff concessions on rice until 31 December 2020 through Presidential Executive Order No. 23. These quantitative restrictions and tariff concessions were set to expire on 1 July 2017.

International prices

International Grains Council (IGC) Grains and Oilseeds Index (GOI) and GOI sub-Indices

	June 2017 Average*	% Change M/M	% Change Y/Y
GOI	189	+ 1.9%	- 11.2%
Wheat	175	+ 8.2%	+ 4.5%
Maize	171	- 0.8%	- 17.2%
Rice	172	+7.2%	+ 5.6%
Soybeans	181	- 2.0%	- 21.0%

*Jan 2000=100, derived from daily export quotations

Wheat

Rising worries about unfavourable weather for crops gave global wheat markets a firmer tone during June. In North America, the outlook for premium grade milling wheats was seen as potentially tight. Early results from the US winter wheat harvest confirmed disappointing yields and quality, while conditions remained unfavourably dry for US and Canadian spring wheat, with crop ratings in the US at record lows at the end of June. Uncertainty about production prospects elsewhere added to bullish price sentiment, with less than ideal conditions reported in parts of the EU, the Black Sea region, Australia and China. Since the last report, the IGC GOI wheat sub-Index climbed by 8 percent, with average export quotations 5 percent higher y/y.

Maize

The IGC GOI maize sub-Index dipped in June, as weakness in South America more than offset modest gains at other origins. Prices in Argentina dropped quite sharply, as newly harvested supplies entered the pipeline. A record crop is expected and, with recent delays to purchases by key buyers in North Africa, nearby quotations slumped to around USD 145 per tonne (FOB, Up River) late in the month, the lowest in more than eight years. Activity in the US market was mixed where, despite some recent weakening, average prices were seen fractionally higher m/m. Trading was heavily influenced by weather, with crops about to enter the key yield determining phase. Black Sea values were lightly supported by background worries about recent dryness and robust buying interest, including from China.

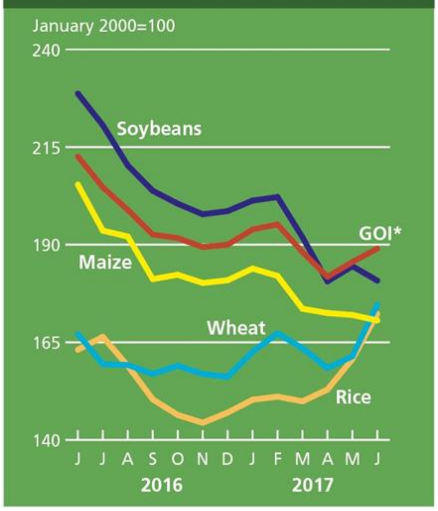
Rice

Led by increases at Asian origins, particularly Viet Nam and Thailand, world white and parboiled rice markets posted further significant gains during June, pushing the IGC GOI sub-Index up by 7 percent, to its highest since November 2014. The positive tone was again underpinned by strong international demand, including big purchases by Bangladesh. Iraq also secured supplies from the US and Argentina, while the Philippines and Sri Lanka were expected to tender for large amounts in July. This more than offset any light pressure arising from the Thai government's ongoing sales of state reserves, a large share of which were reportedly low-quality, food-grade stocks.

Soybeans

Average soybean export values retreated during June, the IGC GOI sub-Index down by 2 percent, although movements were sometimes two-sided and linked to changing weather outlooks. Supply-side fundamentals pressured, with weather mostly seen as beneficial for the US crop. Worries about slower demand from China amid depressed crush margins and some talk of a switch of intended acreage from maize to soybeans added to the negative tone, outweighing mild support from export demand. More recently, extended forecasts for hot, dry Midwest weather helped to trim overall losses. Despite slow grower sales, shipments by Brazil progressed at a record pace, but quotations eased m/m on ample global availabilities and currency movements.

IGC Commodity Price Indices



IGC commodity price indices

		GOI*	Wheat	Maize	Rice	Soybeans
		(................. January 2000 = 100				....................)
2016	June	**212.6**	167.1	205.4	163.1	228.7
	July	**204.7**	159.4	193.6	166.4	220.6
	August	**198.9**	159.2	192.1	159.0	210.3
	September	**192.6**	156.9	181.2	150.4	203.8
	October	**191.7**	159.0	182.3	146.4	200.5
	November	**189.4**	156.9	180.2	144.4	197.8
	December	**190.0**	156.2	180.9	147.0	198.6
	January	**193.9**	162.6	183.9	150.3	201.3
2017	February	**195.2**	167.3	182.0	151.1	202.2
	March	**188.1**	163.5	173.6	149.9	191.9
	April	**181.8**	158.4	172.5	152.9	180.6
	May	**185.6**	161.4	172.0	160.7	184.5
	June	**189.0**	174.6	170.6	172.3	180.8

Selected export prices, currencies and indices

Daily quotations of selected export prices (USD/tonne, 2015-2017)

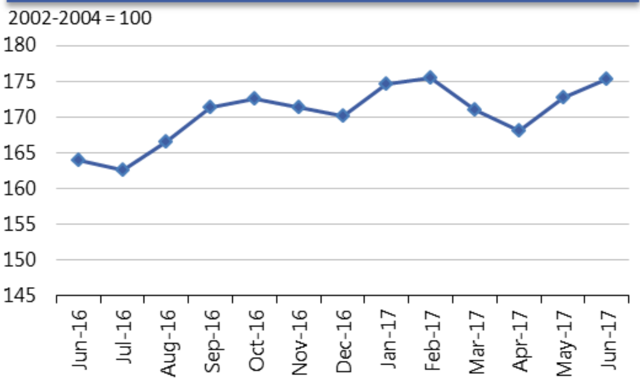
Daily quotations of selected export prices

	Effective Date	Quotation (1)	Week ago (2)	Month ago (3)	Year ago (4)	% change (1) over (2)	% change (1) over (4)
	(	. . . . USD/tonne	. . . .		)		
Wheat (US No. 2, HRW)	30-Jun	246	235	201	185	4.7%	32.8%
Maize (US No. 2, Yellow)	30-Jun	157	152	157	166	3.3%	-5.5%
Rice (Thai 100% B)	30-Jun	440	449	431	426	-2.0%	3.3%
Soybeans (US No.2, Yellow)	30-Jun	364	349	353	468	4.3%	-22.2%

AMIS Countries' Currencies Against US Dollar

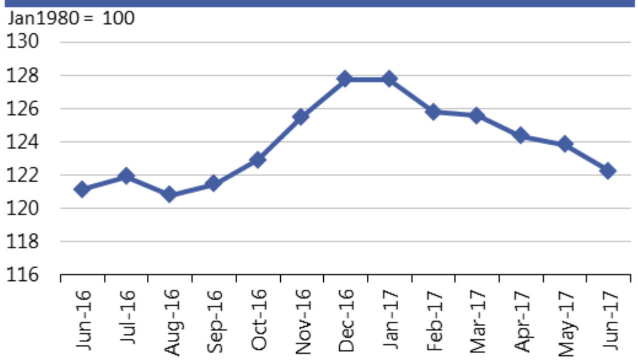
AMIS Countries	Currency	June 2017 Average	Monthly Change	Annual Change
Argentina	**ARS**	16.1	-2.6%	-13.9%
Australia	**AUD**	1.3	1.7%	2.0%
Brazil	**BRL**	3.3	-2.8%	3.5%
Canada	**CAD**	1.3	2.2%	-3.2%
China	**CNY**	6.8	1.1%	-3.3%
Egypt	**EGP**	18.1	-0.1%	-103.6%
EU	**EUR**	0.9	1.6%	0.0%
India	**INR**	64.4	0.0%	4.2%
Indonesia	**IDR**	13,304.9	0.1%	0.2%
Japan	**JPY**	110.9	1.1%	-5.2%
Kazakhstan	**KZT**	319.1	-1.6%	5.2%
Rep. Korea	**KRW**	1,130.5	-0.5%	2.9%
Mexico	**MXN**	18.1	3.4%	2.7%
Nigeria	**NGN**	308.7	-0.3%	-32.4%
Philippines	**PHP**	49.9	-0.1%	-7.4%
Russian Fed.	**RUB**	58.1	-1.7%	10.5%
Saudi Arabia	**SAR**	3.8	0.0%	0.0%
South Africa	**ZAR**	12.9	2.7%	14.2%
Thailand	**THB**	34.0	1.3%	3.6%
Turkey	**TRY**	3.5	1.3%	-20.9%
UK	**GBP**	0.8	-0.9%	-10.8%
Ukraine	**UAH**	26.1	1.2%	-4.8%
Viet Nam	**VND**	22,695.2	-0.1%	-1.7%

FAO Food Price Index
Jun2016-Jun2017



Source: FAO

Nominal Broad Dollar Index
Jun2016-Jun2017



Source: US Federal Reserve

Futures markets

Futures Prices – nearby

	Jun-17 Average	% Change	
		M/M	Y/Y
Wheat	165	+4.4%	- 5.6%
Maize	147	+2.2%	- 8.7%
Rice	248	+8.0%	- 0.6%
Soybeans	340	-2.9%	-19.3%

Source: CME

Historical Volatility – 30 Days, nearby

	Monthly Averages		
	Jun-17	May-17	Jun-16
Wheat	23.6	26.4	29.6
Maize	21.1	20.4	28.6
Rice	26.9	25.4	29.2
Soybeans	15.2	12.6	26.6

Futures prices

Prices for wheat, maize, soybeans and rice followed separate paths during the past month. Wheat values, reacting to hot dry weather in France and deteriorating spring and winter wheat crop conditions in the US, rose 4.4 percent m/m. Maize prices rose sharply during the first week of June and then declined steadily as weather concerns abated, finishing 2.2 percent higher m/m. Soybean prices, responding to a favourable supply scenario, continued in their downward direction since the start of 2017 declining 2.9 percent m/m. Rice prices hit an 11 month high, buoyed by global demand and deteriorating US crop conditions. Wheat, maize and soybean prices were respectively 6, 9 and 19 percent lower y/y while rice prices were about unchanged.

Volumes and volatility

Wheat, maize and soybean volumes rose sharply m/m, as is usual for June. Implied Volatility increased for all three commodities m/m but remained below levels of a year ago. Historical volatility increased somewhat for maize and soybeans but declined slightly for wheat m/m while it was lower for all three commodities y/y, exhibiting levels of 23.6, 21.1, and 15.2 for wheat, maize and soybeans respectively. In all, volatility remained at the low end of the spectrum from a historical perspective.

Basis levels and transport

Basis levels for maize and soybeans were slightly firmer in the interior, while producers finished planting. In Illinois, the interior bids to local elevators were minus USD 9 and minus USD 10 per tonne under the July futures prices for maize and soybeans respectively. In Iowa the bids for maize were about unchanged at minus USD 18 and bids for soybeans firmed modestly to minus USD 23 (both under the respective July futures). In general, basis levels were very low relative to other years at this point in the season when domestic buyers normally pay premiums to futures prices in a dwindling supply situation. Domestic soft red wheat values remained cheap relative to July futures prices as harvest neared completion. Gulf export quotations were about unchanged for maize, soybeans and soft red wheat at around USD 12, USD 13 and USD 16 respectively on a per tonne basis over the respective July futures. Export clearances for wheat, maize and soybeans remained on record pace at 130 percent higher than last year, but unshipped balances dipped below last year's tonnage indicating a possible slowdown in demand. Barge freight firmed somewhat m/m to USD 15 per tonne (Illinois River to Gulf quotation).

Forward curves

Forward curves for wheat and maize remained in the same pattern of upward slopes (contango) m/m despite price rises, particularly in wheat. The soybean curve, notably between the July 2017 and November 2017 contracts, eased again m/m to USD 2.50 carry (upward slope). The decline in July/November soybean spread, which had reached a USD 17 per tonne inverse in February 2017, was indicative of an ample carryover into 2017/18 season. Deliveries were unseasonably heavy against the maize and soybean July contracts at 1 942 and 1 066 contracts respectively, with commercials being the largest delivery makers, while deliveries in July wheat at 62 contracts were modest.

Investment flows

Managed money made sharp corrections to its record bear strategy for wheat and maize while staying the course in its short bet on soybeans. Managed money trimmed its net short wheat position by 108 000 contracts to end with a modest net short of 13 000 contracts at month-end. Similarly, it reduced its net short in maize with net purchases of 148 000 contracts to retain a net short of 50 000 contracts at month-end. Managed money's soybean net short of 97 000 contracts was virtually unchanged m/m, leaving the net short positions in the three commodities at about 160 000 contracts versus the record net short it held May 30 of 413 000 contracts (equivalent to about 54 million tonnes). In opposite strategy to managed money, commercials were the predominant sellers of wheat and maize, increasing their short positions in the two commodities. Swaps dealers – which manage passive investments for large clients such a pension funds – remained the dominant long position holder in maize and wheat, while commercials shared with swaps dealers the long position in soybeans.

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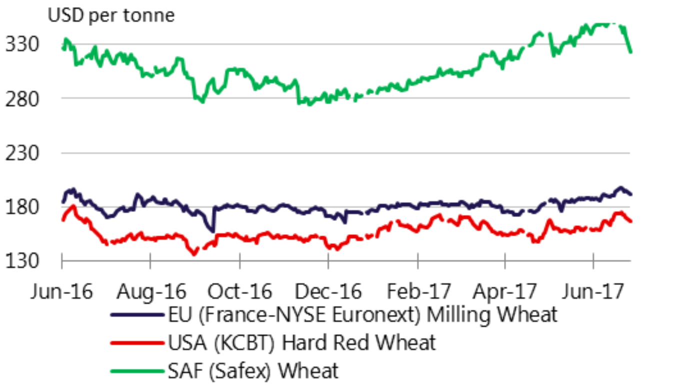
For information on technical terms please view the Glossary at the following link:
http://www.amis-outlook.org/fileadmin/user_upload/amis/docs/Market_monitor/Glossary.pdf

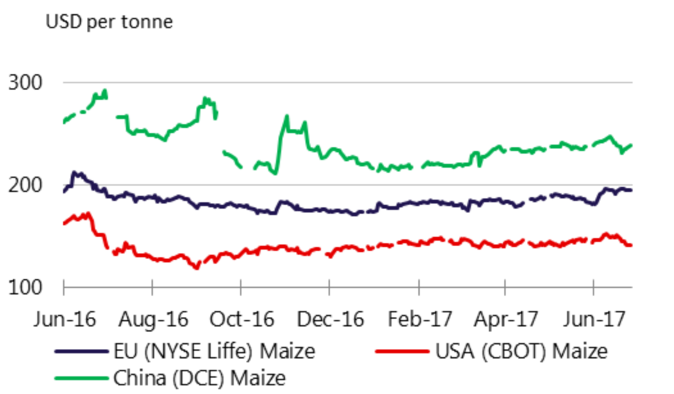
Market indicators

Daily quotations from leading exchanges - nearby futures

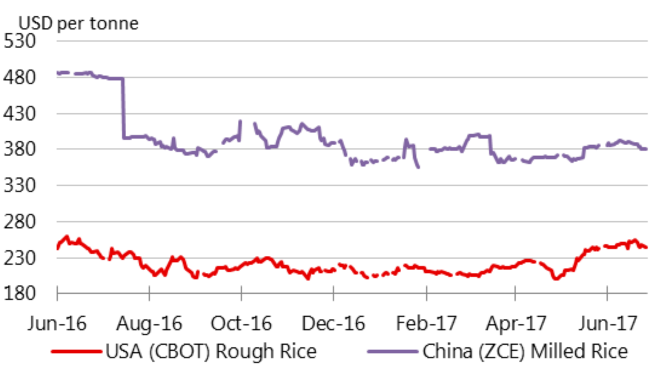
Wheat



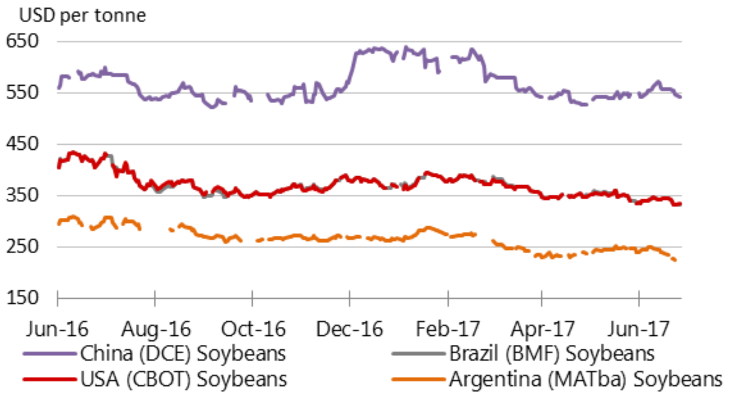
Maize



Rice

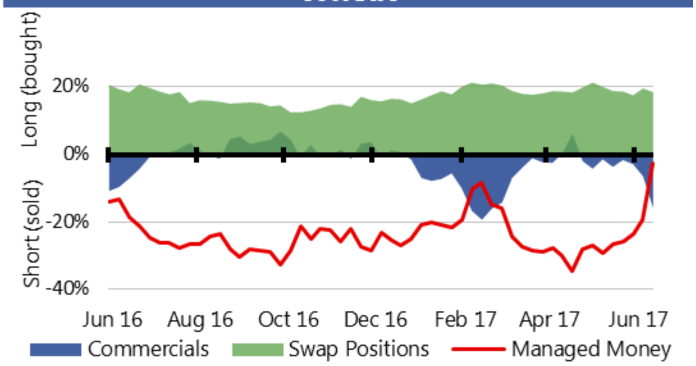


Soybeans

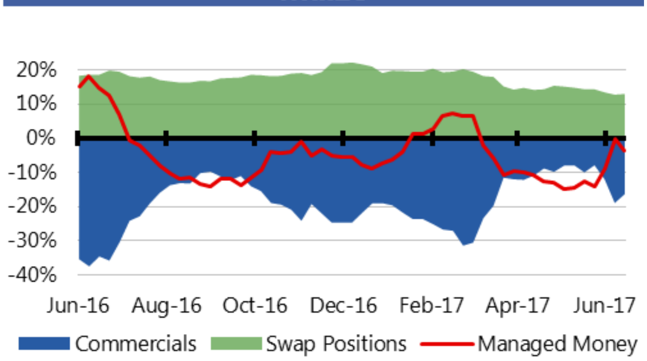


CFTC Commitments of Traders - Major Categories Net Length as percentage of Open Interest*

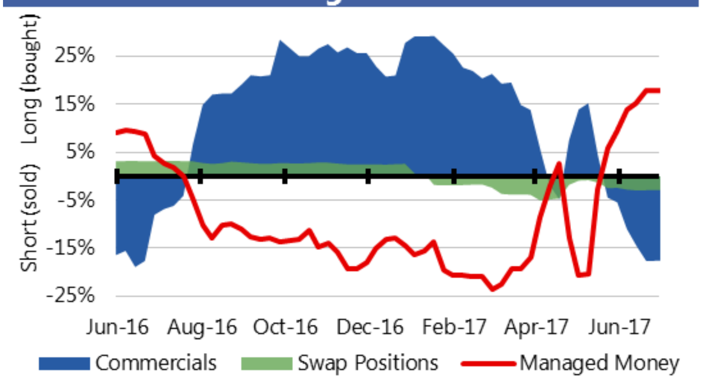
Wheat



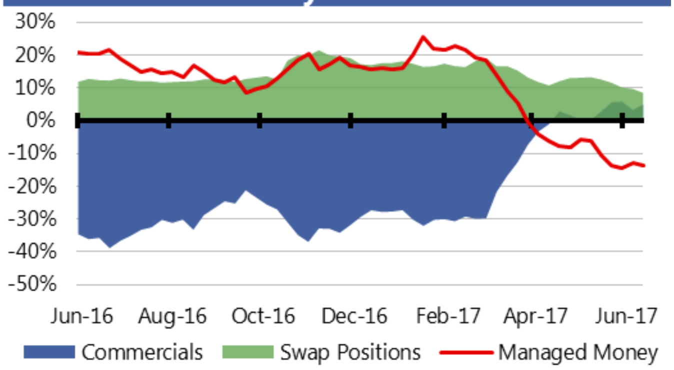
Maize



Rough Rice

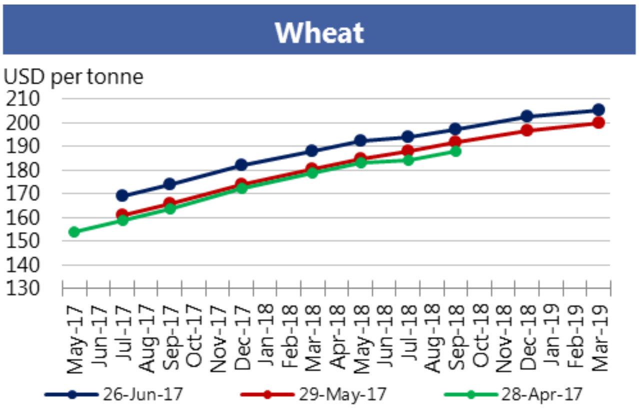


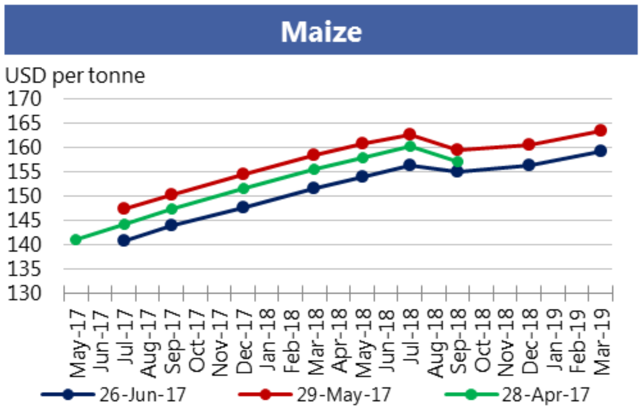
Soybeans

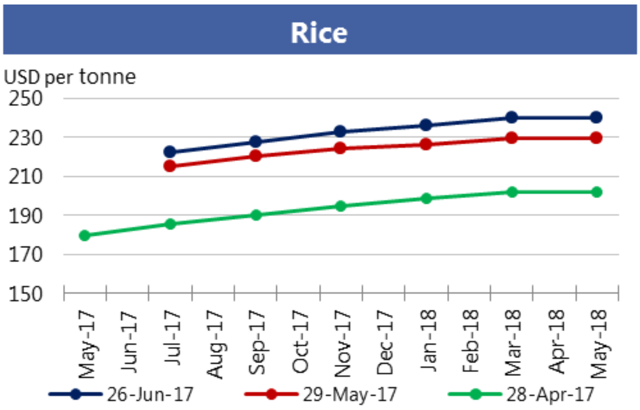


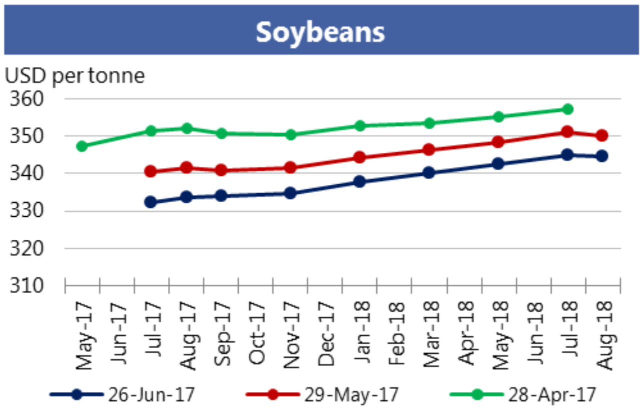
*Disaggregated Futures Only. Though not all positions are reflected in the charts, total long positions always equal total short positions.

Forward Curves

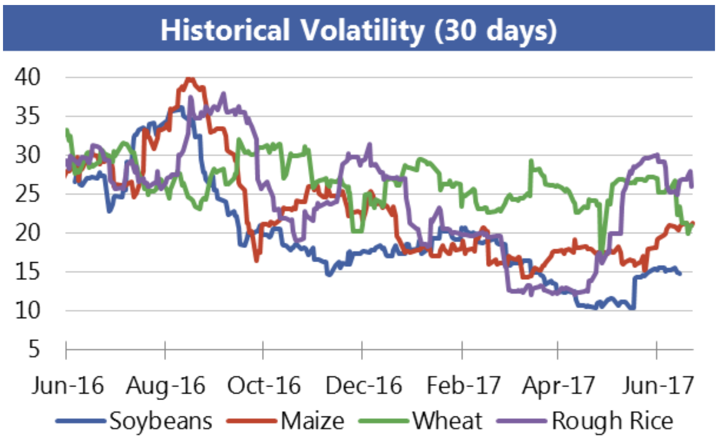








Historical and Implied Volatilities



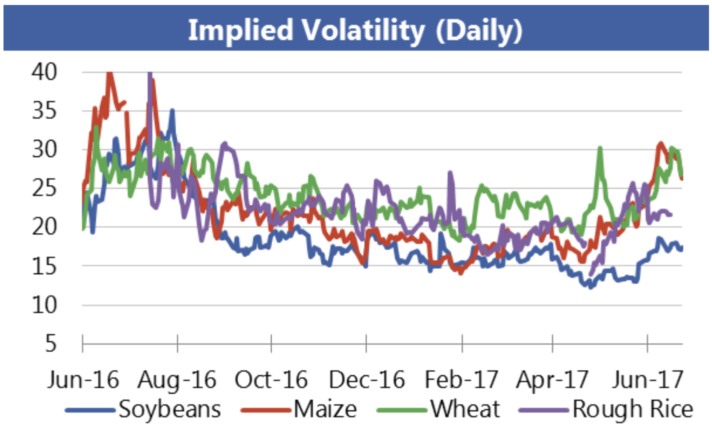


Chart and tables description

Ammonia and Urea: Overview of nitrogen-based fertilizer prices in the US Gulf, Western Europe and Black Sea. Prices are weekly prices averaged by month.
Potash and Phosphate: Overview of phosphate and potassium-based fertilizer prices in the US Gulf, Baltic and Vancouver. Prices are weekly prices averaged by month.
Ammonia Average and Urea Average: Monthly average prices from Ammonia's US Gulf NOLA, Middle East, Black Sea and Western Europe were averaged to obtain Ammonia Average prices; monthly average prices from Urea's US Gulf NOLA, US GUlf Prill, Middle East Prill, Black Sea Prill and Mediterranean were averaged to obtain Urea Average prices. Natural Gas: Henry Hub Natural Gas Spot Price from ICE. Prices are intraday prices averaged by month. Natural gas is used as major input to produce nitrogen-based fertilizers. DAP: Diammonium Phosphate.

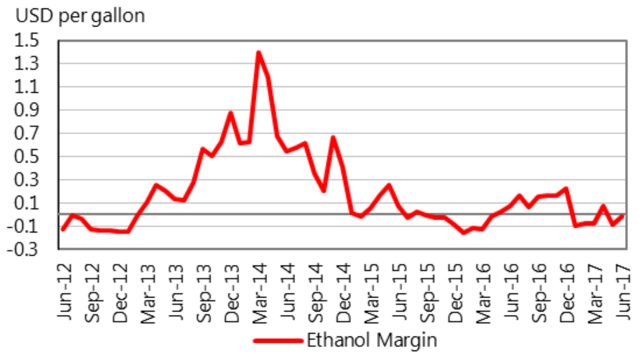
Monthly US ethanol update

- **Ethanol margins** increased, but remained negative in June.
- **Ethanol spot** and **nearby futures prices** increased in June, while RBOB gasoline prices decreased, due to declining crude prices. Ethanol futures prices averaged 3 cents higher than gasoline.
- **Domestic maize prices** increased during the month, leaving the average maize price 58 cents higher in June. Production costs per gallon were unchanged. Increased ethanol and DDGs receipts increased margins.
- **Prices of DDGs** increased 2 cents and remained at a significant discount to the maize price.
- **Ethanol production** decreased in June, with an annual pace of 15.4 billion gallons.
- The U.S. Environmental Protection Agency delayed the release of the preliminary RFS rule for 2018.

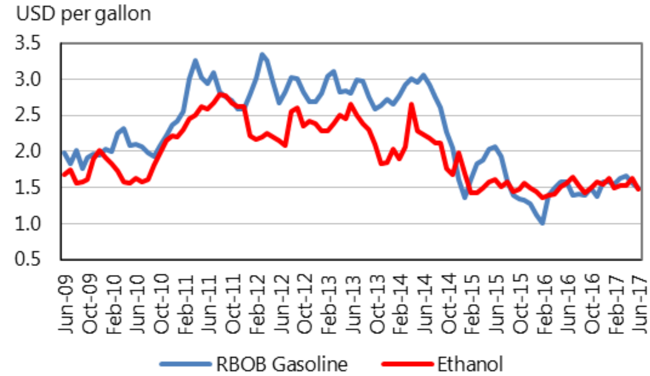
Spot prices IA, NE and IL/eastern *corn belt* average	**June 2017***	**May 2017**	**June 2016**
Maize price (USD per tonne)	136.54	135.96	156.24
DDGs (USD per tonne)	103.70	98.37	158.71
Ethanol price (USD per gallon)	1.48	1.42	1.58
Nearby futures prices CME, NYSE			
Ethanol (USD per gallon)	1.52	1.48	1.65
RBOB Gasoline (USD per gallon)	1.49	1.56	1.58
Ethanol/RBOB price ratio	102.3%	94.4%	104.4%
Ethanol margins IA, NE and IL/eastern *corn belt* Average (USD per gallon)			
Ethanol receipts	1.48	1.42	1.58
DDGs receipts	0.32	0.30	0.49
Maize costs	1.26	1.26	1.44
Other costs	0.55	0.55	0.55
Production margin	-0.01	-0.09	0.07
Ethanol production (million gallons)			
Monthly production total	1 266	1 331	1 271
Annualized production pace	15 400	15 667	15 462

Based on USDA data and private sources
* Estimated using available weekly data to date.

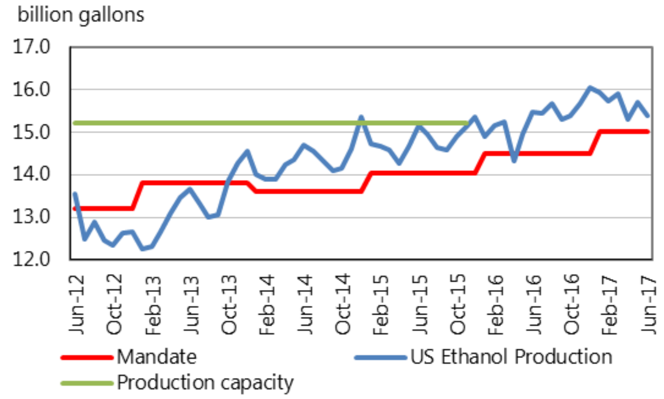
Ethanol Production Margin
(IA, NE, IL/eastern corn belt average)



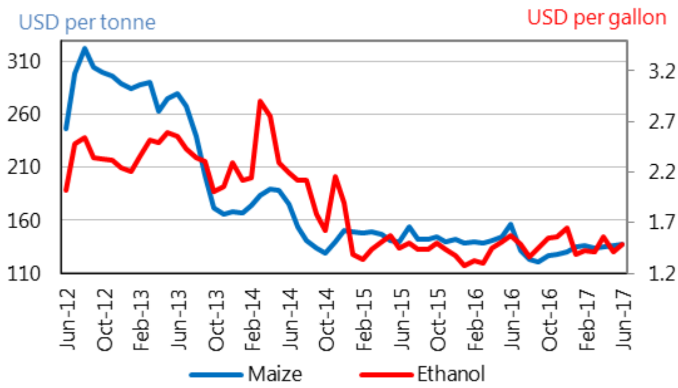
Ethanol and RBOB gasoline
(nearby futures prices, CME, NYSE)



Ethanol production pace, capacity and annual mandate



Ethanol price vs. maize price
(Spot prices)



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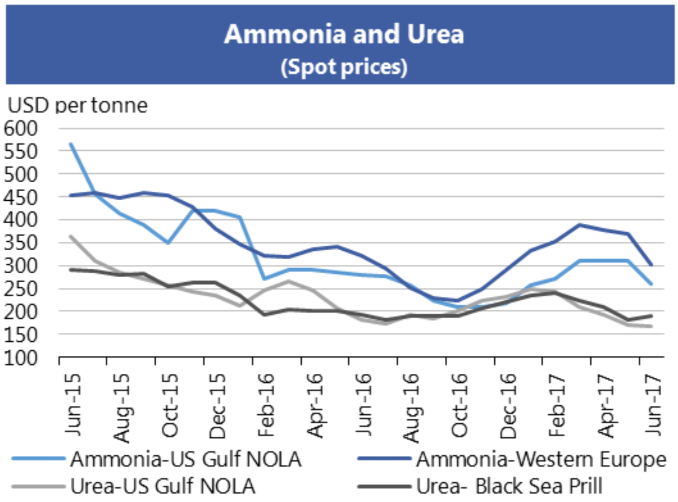
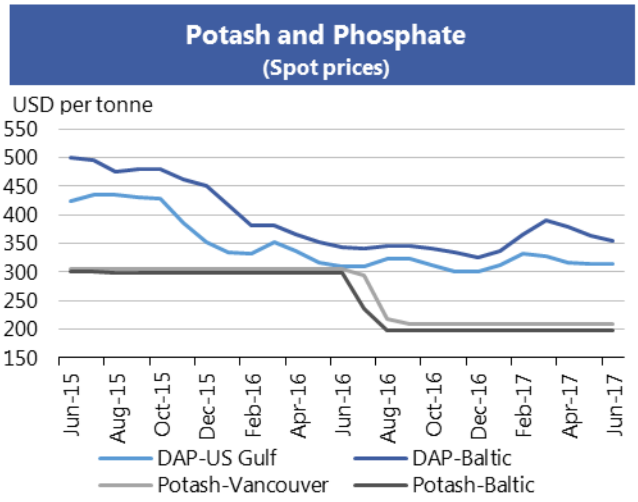
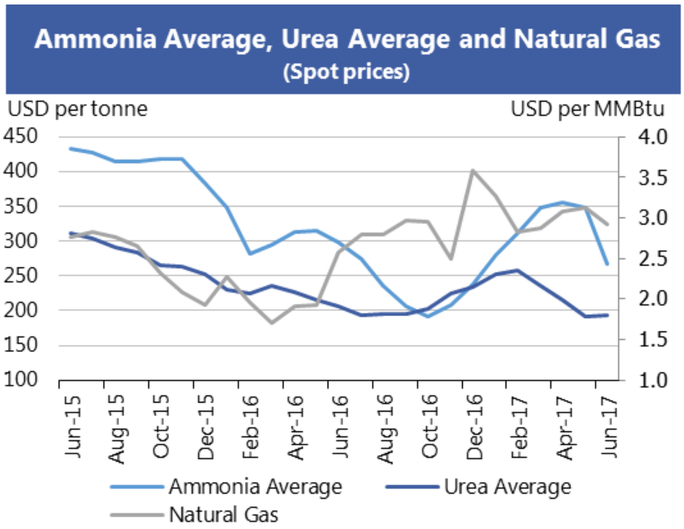
Fertilizer outlook







- **Ammonia** prices dropped globally m/m, after remaining steady in May. This large drop in average price was driven mainly by a fall in Ammonia prices in the Middle East.
- **Urea** prices decreased in the US but increased in the Black Sea m/m. US producers exported their oversupply to buyers overseas and obtained higher prices.
- **DAP** prices in the US kept steady m/m but dropped slightly in the Baltic. China exported DAP even though global demand remained flat.
- **Potash** prices held steady m/m in both the Baltic and the US.
- The price of **natural gas** decreased m/m due to a lower demand resulting from lower than expected temperatures in the US.

Region	June average	June std. dev	% change last month*	% change last year*	12-month high	12-month low
Ammonia-US Gulf NOLA	261.3	32.5	-15.7%	-6.7%	310	210
Ammonia-Western Europe	301.3	14.4	-18.6%	-6.6%	390	225
Urea-US Gulf	167.8	3.1	-1.9%	-8.0%	249.8	167.8
Urea-Black Sea	190	10	+4.8%	-1.3%	241.8	181.3
DAP-US Gulf	314	1.2	+0.1%	+1.5%	331.8	300
DAP-Baltic	355	5.8	-2.1%	+3.6%	390	325
Potash-Baltic	198	-	-	-33.6%	236.4	198
Potash-Vancouver	209	-	-	-31.5%	293.6	209
Ammonia Average	267.3	34	-23.1%	-10.3%	355.6	191.3
Urea Average	192.5	2.6	+0.3%	-6.3%	257.6	192
Natural Gas	2.9	0.1	-6.3%	+14.1%	3.6	2.5

Source: Own elaboration based on Bloomberg.

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Explanatory Notes

The notions of **tightening** and **easing** used in the summary table of **"World Supply and Demand"** reflect judgmental views which take into account market fundamentals, inter-alia price developments and short-term trends in demand and supply, especially changes in stocks.

All totals (aggregates) are computed from unrounded data. World supply and demand estimates/forecasts in this report are based on the latest data published by FAO, IGC and USDA; for the former, they also take into account information received from AMIS countries (hence the notion **"FAO-AMIS"**). World estimates and forecasts may vary due to several reasons. Apart from different release dates, the three main sources may apply different methodologies to construct the elements of the balances. Specifically:

Production: For wheat, production data refer to the first year of the marketing season shown (e.g. the 2016 production is allocated to the 2016/17 marketing season). For maize and rice, FAO-AMIS production data refer to the season corresponding to the first year shown, as for wheat. However, in the case of rice, 2016 production also includes secondary crops gathered in 2017. By contrast, for rice and maize, USDA and IGC aggregate production of the northern hemisphere of the first year (e.g. 2016) with production of the southern hemisphere of the second year (2017 production) in the corresponding 2016/17 global marketing season. For soybeans, this latter method is used by all three sources.

Supply: Defined as production plus opening stocks. No major differences across sources.

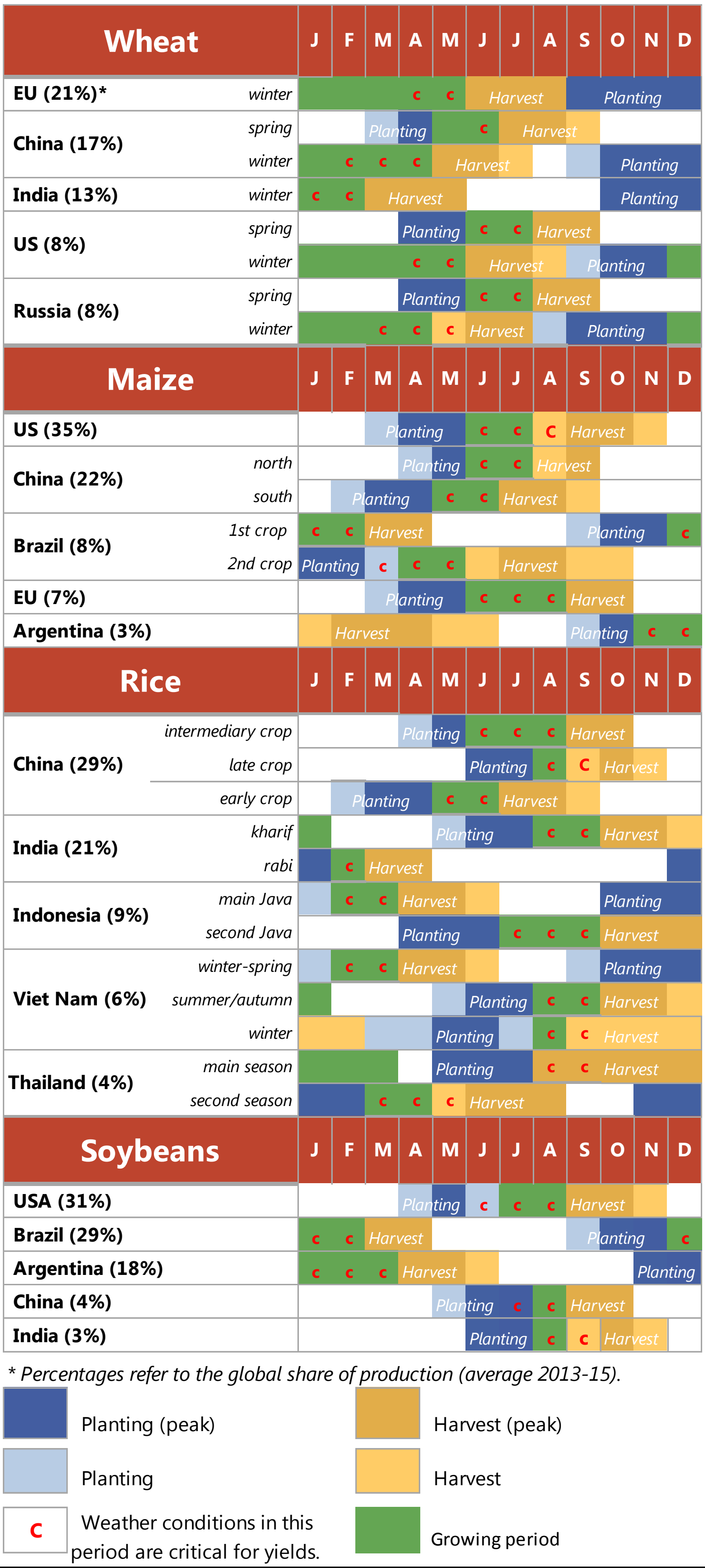
Utilization: For wheat, maize and rice, utilization includes food, feed and other uses ("other uses" comprise seeds, industrial utilization and post-harvest losses). For soybeans, it comprises crush, food and other uses. No major differences across sources.

Trade: Data refer to exports. For wheat and maize, trade is reported on a July/June marketing year basis, except for the USDA maize trade estimates, which are reported on an October/September basis. FAO-AMIS and IGC wheat trade data includes wheat flour in wheat grain equivalent. USDA wheat trade data also includes wheat products. For rice, trade covers flows from January to December of the second year shown, and for soybeans from October to September. Trade between European Union member states is excluded.

Stocks: In general, stocks refer to the sum of carry-overs at the close of each country's national marketing year. In the case of maize and rice, in southern hemisphere countries the definition of the national marketing year is not the same across the three sources as it depends on the methodology chosen to allocate production. For Soybeans, the USDA world stock level is based on an aggregate of stock levels as of 31 August for all countries, coinciding with the end of the US marketing season. By contrast, the IGC and FAO-AMIS measure of world stocks is the sum of carry-overs at the close of each country's national marketing year.

AMIS - GEOGLAM Crop Calendar

Selected leading poducers



Main sources
Bloomberg, CFTC, CME Group, FAO, GEOGLAM, IFPRI, IGC, Reuters, USDA, US Federal Reserve

2017 AMIS Market Monitor Release Dates
February 2, March 2, April 6, May 4, June 8, July 6, September 7, October 5, November 2, December 7

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